

SECTION 4: MONEY AND BANKING (I)

4.1 MONEY: NATURE AND FUNCTIONS

Multiple Choice Questions

1990/CE/II/29

To serve as a unit of account, money has to be

- A. homogeneous.
- B. portable.
- C. scarce.
- D. durable.

1990/CE/II/30

The Canadian Maple Leaf gold coins (加拿大楓葉金幣) can be an example of _____ in Hong Kong.

- A. legal tender
- B. credit money
- C. bank assets
- D. token coins

1990/CE/II/40

Which of the following is the most acceptable means to settle a debt in Hong Kong?

- A. credit cards
- B. personal cheques
- C. Japanese yen
- D. Bank drafts

1990/CE/II/41

The value of money is reflected by its

- A. face value.
- B. intrinsic value.
- C. purchasing power.
- D. owner's subjective value.

1990/CE/II/58

Which of the following statements is **INCORRECT**?

- A. A credit card is money because it is a means of payment.
- B. The use of money eliminates the need for the double coincidence of wants in transactions.
- C. Money performs less satisfactorily as a store of value when inflation is serious.
- D. In a barter economy, when a person buys a good, he must be also selling another good.

1991/CE/II/29

Which of the following can best serve as money in a desert?

- A. shells
- B. sand
- C. water
- D. potatoes

1992/CE/II/33

A time deposit fulfils the function of money as a

- A. medium of exchange.
- B. store of value.
- C. unit of account.
- D. standard of deferred payments.

1992/CE/II/57

The potato is **NOT** a good form of money mainly because it is

- A. indivisible.
- B. portable.
- C. homogeneous.
- D. perishable.

1992/CE/II/59

Which of the following descriptions about barter is **FALSE**?

- A. Barter means a direct exchange of goods and services.
- B. Barter is possible only when there is double coincidence of wants.
- C. Barter exists only in societies without a medium of exchange.
- D. Usually it is more difficult to practise barter in international trade than in domestic trade.

1993/CE/II/31

Nowadays one can use a credit card or coins to make phone calls from public telephones. The telephone company accepts the use of credit cards for phone calls because

- (1) a credit card is legal tender
 - (2) a credit card is a means of deferred payment
 - (3) credit card holders are more trustworthy people
 - (4) the cost of handling coins can be reduced
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1993/CE/II/58

Money will **NOT** exist if

- A. there is no banking system.
- B. only credit cards are accepted for payment.
- C. there is only one man on earth.
- D. trade is totally banned among countries.

1994/CE/II/41

Banknotes are preferred to cheques as means of payment because the former are more

- A. divisible.
- B. generally acceptable.
- C. portable.
- D. scarce.

1994/CE/II/44

Which of the following descriptions of 'demand deposits' is correct?

- A. They can be accepted by deposit-taking companies in Hong Kong.
- B. They are legal tender in Hong Kong.
- C. They are a form of credit money.
- D. They are an interest-bearing asset.

1995/CE/II/38

Which of the following about money is correct?

- A. It must have intrinsic value.
- B. It must be backed up by law to be the medium of exchange.
- C. It must be convertible into some precious metal.
- D. It must be generally acceptable as the medium of exchange.

1995/CE/II/39

Banknotes is a better form of money than demand deposits because the former is more

- A. generally acceptable.
- B. divisible.
- C. durable.
- D. portable.

1995/CE/II/40

Arrange the following assets in terms of liquidity in descending order:

- (1) ordinary shares
 - (2) real estate
 - (3) bank notes
 - (4) demand deposits
- A. (1), (3), (4), (2)
 - B. (3), (4), (1), (2)
 - C. (3), (4), (2), (1)
 - D. (4), (3), (2), (1)

1995/CE/II/50

Exchange with the use of money differs from barter exchange in that the former

- A. is controlled by the government but the latter is not.
- B. has a price for each good but the latter has not.
- C. does not require the double coincidence of wants but the latter does .
- D. involves competition but the latter does not.

1996/CE/II/34

During war time, gold is a better form of money than paper money mainly because gold is more

- A. durable.
- B. portable.
- C. generally acceptable.
- D. homogeneous.

1996/CE/II/38

Arrange the following bank assets in descending order of liquidity:

- (1) loans and advances
 - (2) deposits with other banks
 - (3) real estates owned by the bank
- A. (1), (2), (3)
 - B. (1), (3), (2)
 - C. (2), (1), (3)
 - D. (3), (2), (1)

1997/CE/II/32

99 gold is a better form of money than diamond because the former is more

- (1) easily divisible.
 - (2) scarce.
 - (3) homogenous.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1997/CE/II/38

Which of the following is/are the function(s) of money performed by credit cards?

- (1) standard for deferred payment
 - (2) means of payment
 - (3) unit of account
 - (4) store of value
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (3) and (4) only

1997/CE/II/39

Holders of a/an _____ has the least risk and the highest liquidity.

- A. long-term corporate bond
- B. ordinary share
- C. preference share
- D. savings deposit

1998/CE/II/32

Cheques are preferred to banknotes and coins when used as medium of exchange in large transactions because cheques are more

- A. durable.
- B. generally acceptable.
- C. scarce.
- D. portable.

1999/CE/II/35

9999 Gold is better as a form of money than jade because the former is more

- (1) generally acceptable.
 - (2) easily divisible.
 - (3) homogeneous.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2001/CE/II/48

In Hong Kong, drivers can buy tickets from tunnel companies for using tunnel services. These tickets are **NOT** a standard of deferred payment. In other words,

- A. the purchasing power stored in the tickets can only be used for certain tunnel services.
- B. most people in Hong Kong do not use the tickets for the tunnel services.
- C. the value of most goods and services are not measured in terms of the tickets.
- D. payment in the future in general is not denominated in the tickets.

2002/CE/II/34

Which of the following statements about money are correct?

- (1) The purchasing power of money will remain unchanged in times of deflation.
 - (2) A wider use of electronic money will reduce the cash held by the public.
 - (3) Money helps people to accumulate their purchasing power.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2003/CE/II/50

Fish are **NOT** good units of account mainly because they are **NOT**

- A. durable.
- B. scarce.
- C. homogeneous.
- D. portable.

2004/CE/II/35

When a barter economy changes to an economy that uses money in exchange,

- (1) finding trading partners becomes easier.
 - (2) making transactions involving future settlement of debt becomes easier.
 - (3) agreeing upon prices takes a longer time.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2004/CE/II/36

A time deposit is better than a demand deposit in serving the _____ function of money because the former _____.

- A. unit of account has a common unit
B. store of value bears interest income
C. medium of exchange is generally acceptable
D. standard of deferred payments is a liquid asset

2004/CE/II/40

Which of the following kinds of assets has the lowest liquidity?

- A. cash in hand
B. ordinary shares
C. demand deposits
D. savings deposits

2005/CE/II/35

Country A used gold as its currency. Suppose the scientists in the country have found a method to produce gold at nearly zero cost. As a result, the government has decided to give up using gold as its currency. This illustrates that good money has to be

- A. portable.
B. divisible.
C. scarce.
D. durable.

2006/CE/II/33

Which of the following statements about money are correct?

- (1) Under the electronic payment system, transactions are still settled with money.
 - (2) Deflation reduces the purchasing power of money.
 - (3) With the use of money in exchange, there is no need to have double coincidence of wants.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2006/CE/II/34

9999 gold is a better form of money than grains of wheat because the former is more

- (1) durable.
 - (2) homogeneous.
 - (3) easily divisible.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2007/CE/II/35

During inflation, people are less willing to keep their wealth in the form of money. This is because at that time the function of money to serve as a _____ is weakened.

- A. medium of exchange
- B. store of value
- C. unit of account
- D. means of payment

2008/CE/II/34

An economy that changes from barter to using money in exchange would reduce

- A. the need for specialization.
- B. the need for exchange.
- C. the time for searching trading partners.
- D. the frequency of making payments.

2008/CE/II/35

As a form of money, polymer notes (塑質鈔票) are more

- A. homogenous
- B. durable
- C. divisible
- D. portable

2008/CE/II/36

A more popular use of electronic money can bring about the following advantages:

- (1) a smaller amount of coins and notes to be handled
 - (2) a lower chance of receiving fake banknotes
 - (3) more interest earned by keeping the money in banks for a longer period of time
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2009/CE/II/35

Which of the following assets has the highest liquidity?

- A. real estates
- B. government bonds
- C. savings deposits
- D. time deposits



When the price of a good is quoted in Renminbi (RMB) on a price tag in some shops in Hong Kong, RMB is performing as

- A. legal tender.
- B. a store of value.
- C. a unit of account.
- D. a standard of deferred payment.

2010/CE/II/34

Which of the following statements about money are correct ?

- (1) The use of money reduces the information cost of searching for trading partners.
 - (2) Money would not exist if there are no banks.
 - (3) Money still exists if all transactions are settled by electronic transfer (or settled online).
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2010/CE/II/37

Holders of _____ have the lowest liquidity.

- A. negotiable certificates of deposits
- B. ordinary shares
- C. savings deposits
- D. real estates

2015/DSE/I/35

Refer to the following news extract.

Yu'e Bao (餘額寶) is a new online investment fund introduced by Alibaba. Much of the popularity of Yu'e Bao has come from its ability to give customers the convenience of a demand deposit-meaning they can withdraw their funds whenever they like-but with returns well above what a bank could offer. It recently advertised-an annualised return of 5.25%, but that level has on occasion risen to above 7% since the fund was set up. By contrast, banks offer 3.3% as interest for a one-year fixed deposit and close to nothing on savings deposits.

Yu'e Bao is a better _____ as compared with bank deposits because _____.

- A. unit of account it provides a homogeneous means of payment
- B. unit of account it can facilitate people's buying and selling of goods and services
- C. store of value It allows customers to have higher purchasing power in the future
- D. store of value the customers can keep their unused funds in Yu'e Bao

2016/DSE/I/30

Refer to the following diagram.



Ken read the above advertisement and bought a new mobile phone by installments. In this payment, which of the following functions did money perform?

- (1) store of value
- (2) unit of account
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/30

Refer to the following hypothetical case.

The currency of Country T, T-Dollar, has depreciated by 40 percent from the beginning of 2018 after the US announced a series of trade sanctions against Country T. As a result, some shops in Country T quoted prices in US Dollar instead of T-Dollar. Shops in black markets refused to accept T-Dollar. Some citizens bought foreign currencies to safeguard their assets.

Which functions of money of the T-Dollar were weakened?

- (1) medium of exchange
 - (2) unit of account
 - (3) store of value
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Study the following news extract about Bitcoin (比特幣).

In 2018, Kentucky Fried Chicken Canada launched 'Bitcoin Bucket'. The company set up a Facebook live feed, displaying the number of bitcoins needed to pay for the meal as in the picture below. The 'Bitcoin Bucket' could only be purchased online and would be delivered to the buyers' home later.



In the above case, Bitcoin performed as a _____.

- (1) medium of exchange
- (2) unit of account
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2024/DSE/I/31

9999 gold is better than diamond in performing the _____ function of money because the former has a higher _____

- (1) medium of exchange.....divisibility
- (2) unit of account.....homogeneity
- (3) store of value portability

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

2025/DSE/I/31

Refer to the following hypothetical case.

Country P experiences a long period of hyperinflation. When workers receive wages in P dollar (the legal tender of Country P), they would quickly use the P dollar to buy gold or convert it into US dollar. Some workers even only accept jobs with wages denominated in US dollar. Lenders generally do not accept repayment of loans in P dollar when lending money.

Based on the above information, which functions of money of the P dollar were weakened?

- (1) medium of exchange
- (2) store of value
- (3) standard of deferred payment

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short and Structured Questions

1991/CE/1/5(a)

State **THREE** functions of money.

(3 marks)

1993/CE/1/3(d)(ii)



Explain why stored value tickets cannot perform the following functions of money:

- (I) medium of exchange
- (II) store of value

(4 marks)

1994/CE/1/6

Employer: If you work for me this month, I'll give you 30 metres of cloth in payment at the end of the month.

Employee: Please pay me cash. I won't accept cloth in payment.

According to the employer, what function of money does the cloth perform, apart from acting as a medium of exchange?

Also explain why cloth in general cannot perform this function.

(6 marks)

1995/CE/10(b)(i)

In Hong Kong, a demand or savings deposit holder can use an EPS card to pay for his purchases in certain shops. The function of an EPS card is that the amount of money is immediately transferred from the customer's bank deposit account to the shop's bank deposit account.

Name the function of money which savings deposits together with EPS cards can perform in the above example. (2 marks)

1996/CE/1/8

Explain which **TWO** functions of money would be affected in times of inflation.

(4 marks)

1997/CE/1/4

On an island, people sell their goods and services in exchange for salt and use salt to buy what they want.

(a) 'There is no money in this economy.' Explain whether you agree with this statement or not.

(2 marks)

(b) Explain **TWO** difficulties that the people on the island may encounter when using salt in exchange for goods and services.

(4 marks)

1998/CE/1/6

One prediction about future commercial cities is: '.....with technological advancement, trading of goods and services will be done without cash. There will be no cash in these advanced economies.'

John said, 'Money will not exist in these economies as there is no cash.'

Explain whether John's comment is correct.

(4 marks)

1999/CE/I/11(d)

It is suggested that 'Octopus cards (八達通卡)' can be used as a store of value and as a means of payment for taxi service.

Name the other two functions of money and explain why Octopus cards cannot perform these two functions. (4 marks)

2000/CE/I/5

Barbarian A: I want to exchange some of my bananas for some of your vegetables.

Barbarian B: But what I want now is some wood.

Define money and explain how money helps to solve the problem of exchange in this case. (4 marks)

2001/CE/I/5

Explain why banknotes would be more generally-accepted as a medium of exchange than diamonds. (4 marks)

2002/CE/I/11(c)

Students in the tutorial school with good academic achievements are awarded coupons. These coupons can be used to purchase books in some specified bookstores. Explain whether these coupons are 'money'. (3 marks)

2003/CE/I/7

In some Asian countries, the prices of goods and services in tourist areas are expressed in US dollars. Suppose tourists pay cash in US dollars for their purchases.

(a) Name **TWO** functions of money performed by the US dollar as illustrated in the above situation. (2 marks)

(b) Name and explain the other **TWO** functions of money. (4 marks)

2004/CE/I/9(b)

Which function of money does cash perform better in times of deflation than in times of inflation? Explain. (3 marks)

2004/CE/I/11(c)(ii)

A famous chain of fashion stores opens a new branch.

To celebrate the new opening, the chain stores issue cash coupons to their customers who can use them as cash in these stores Explain why the cash coupons are not money. (2 marks)

2005/CE/I/4

State and explain **TWO** functions of money. (4 marks)

2006/CE/I/7

The 'individual travel scheme' brings many tourists from Mainland China to Hong Kong. In the following table, fill in the blanks to indicate the function of money that is performed by Renminbi (RMB) in each case.

	The function of money performed by RMB
Case 1 : The prices of goods and services in some shops in Hong Kong are expressed in RMB.	
Case 2 : Some shops in Hong Kong accept cash payment in RMB.	
Case 3 : Some banks in Hong Kong accept RMB savings deposits.	

(3 marks)

2007/CE/I/6

Many shops in Macau accept payment in Hong Kong dollars. Banks in Macau also accept Hong Kong dollar deposits.

Name **TWO** functions of money performed by the Hong Kong dollar as illustrated in the above situation. Explain these functions. (4 marks)

2009/CE/I/9(d)

Some bookstores issue book coupons which the holders can use to pay for their purchases in these bookstores.

- (i) Apart from 'store of value' and 'standard of deferred payment', name **TWO** other functions of money. (2 marks)
- (ii) Book coupons cannot perform the two functions of money mentioned in the answer to (d)(i). Explain. (2 marks)

2010/CE/I/5

- (a) Money is defined as (2 marks)
- (b) Explain with **TWO** reasons why pearls are not a good form of money. (4 marks)

2012/DSE/II/7

"9999 gold is preferred to cigarettes when used as money." Give **TWO** reasons to explain this argument. (4 marks)

2017/DSE/II/5

Due to political instability, the currency of a country depreciates sharply and becomes highly volatile. Which **TWO** functions of money may be weakened? Explain. (4 marks)

2018/DSE/II/12(b)

Source 1: search result from a hotel booking website

Hotel A Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 30 square metres 2 Twin Beds	Free cancellation	Book now! HK\$2 100 OR RMB¥1750
Hotel B Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 32 square metres 2 Twin Beds Free WIFI	Non- refundable	Book now! HK\$2 040 OR RMB¥1700

Which **TWO** functions of money does the Renminbi perform in Source 1? Explain. (4 marks)

2020/DSE/II/5b

- (b) Peter owes Mary \$100 and he has no cash in his wallet. He suggests repaying Mary by a cash coupon (with a face value of \$100) issued by a supermarket chain. Give **TWO** economic reasons to explain why Mary would refuse to accept the cash coupon as a repayment of Peter's debt. (4 marks)

2021/DSE/II/7

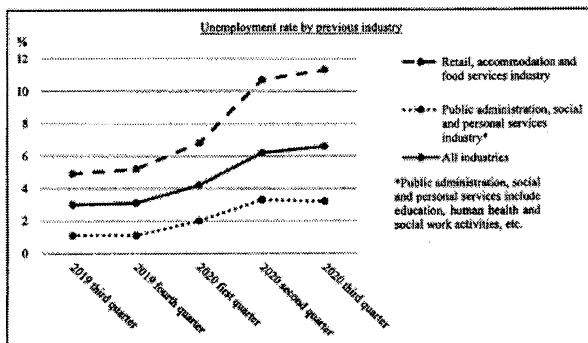
In a country, most of the prisoners in a correctional institution (懲教所) use cigarettes as a medium of exchange, but citizens in society refuse to settle payment by using cigarettes. Apart from not being generally acceptable, explain with **TWO** reasons why cigarettes are **NOT** a good form of money in society.

(4 marks)

2022/DSE/II/11d

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

	AlipayHK	Octopus	Tap & Go	WeChat Pay HK
	 AlipayHK	 八達通 Octopus		 WeChat Pay®
Public transportation with the above payment facilities installed	MTR, bus, mini bus and ferry	MTR, bus, mini bus and ferry	Bus and mini bus	None
Promotions to consumption voucher users	5 e-coupons	First 2 million registered customers enjoy \$18 of stored value	\$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50	e-coupons

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

A housewife 	I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!
A former chef in a restaurant 	I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.
A doctor working in a public hospital 	Resources should be allocated to <i>the</i> medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.

- (d) Refer to Source D. Some citizens claimed, 'I would rather receive \$5 000 cash instead of consumption vouchers.' In terms of functions of money, explain such a claim with **TWO** reasons. (4 marks)

2024/DSE/II/6

Refer to the following conversation between two villagers in a barter economy.

Villager A: I want to exchange my beans for your pork.

Villager B: But what I want now is rice.

- (a) A problem that hinders exchanges in a barter economy is revealed in the above situation. Identify the problem. (1 mark)
- (b) (i) What is money? (1 mark)
- (ii) Explain how the use of money can facilitate exchanges. (2 marks)